



Web3 & The CLARITY Act's Last Miles

What Bitcoin, Ethereum, and XRP Each Get If It Passes

By Samuel Je Christian · Web3 Corner Date: June 24, 2026



The Most Important Bill in Crypto History

The Digital Asset Market Clarity Act — the **CLARITY Act** — sits on the Senate Legislative Calendar as **Calendar No. 423**.

Its journey so far has been historic, yet its final stretch remains its steepest hurdle:

[Passed House: July 17, 2025] —> [Cleared Senate Committee: May 14, 2026] —> [Senate Floor Vote: July/August 2026]
(294-134 Bipartisan) (15-9 Banking Vote)
(60-Vote Threshold Needed)

What remains is the hardest part: securing a 60-vote Senate floor threshold (requiring roughly seven Democrats to cross over), reconciling jurisdictional lines with the Senate Agriculture Committee, and obtaining a presidential signature.

Because of these tight legislative dynamics, Galaxy Research recently adjusted its 2026 passage probability from 75% to 60%, framing it as a near 50-50 coin flip. Congress is taking the bill to New York for a landmark hearing in July, and the August recess looms as the absolute final deadline.

[!WARNING] Senator Cynthia Lummis warned that if the bill slips past the August recess, the legislative fight will run directly into the midterms—potentially pushing the next realistic regulatory window out to **2030**. A failure in 2026 is not a minor delay; it is a four-year structural freeze.



What the Bill Actually Does

On March 17, 2026, the SEC and CFTC jointly classified Bitcoin, Ethereum, XRP, and 13 other assets as digital commodities. However, **administrative guidance is not federal law**.

Administrative Guidance		The	
CLARITY Act			
Reversible by future administrations		vs.	Codified as
permanent federal statute			
Cannot fully satisfy pension compliances			Unlocks

trillions in conservative capital|

A future SEC Chair could easily reverse prior administrative guidance. Compliance departments at multi-trillion-dollar pension funds, sovereign wealth funds, and large asset managers cannot safely commit capital based on reversible agency memos. The CLARITY Act converts temporary administrative handshakes into permanent, unshakeable statutory law.



What Bitcoin Gets

While Bitcoin's legal status as a commodity is the least contested in the space, permanence remains deeply consequential.

- **Before CLARITY:** Bitcoin's commodity classification is based on administrative guidance—technically reversible if political alignments shift by 2029.
- **After CLARITY:** It becomes an unalterable federal statute. No future SEC Chair can reclassify it.

The Institutional Consequence:

The most conservative capital pools on Earth—pension funds, sovereign wealth funds, and university endowments—operate under strict legal mandates. Codifying Bitcoin's commodity status under federal law removes the final layer of compliance hesitation, unlocking a slow, methodical, and permanent wave of institutional capital.



What Ethereum Gets

Ethereum's stakes in the CLARITY Act are highly specific, centering directly on the network's core economic engine: **Staking**.

- **The Current Staking Blockade:** The SEC has continuously refused to allow spot Ethereum ETFs to pass through staking yields to investors, citing legal ambiguity over whether staking constitutes an investment contract under the 1946 Howey Test.
- **The CLARITY Solution:** Coding Ethereum as a statutory commodity explicitly establishes staking yield as a native network participation function rather than a security offering.

The Institutional Consequence:

This law allows spot Ethereum ETFs to officially package and distribute staking yields (an additional 8-12% annualized return) directly to traditional brokerage accounts. Additionally, it permanently establishes CFTC jurisdiction over Ethereum spot markets, providing the exact statutory precedent the SEC needs to rapidly approve the spot ETF pipeline for assets like Solana, Avalanche, and Cardano.

[!NOTE] Standard Chartered previously set a \$7,500 year-end price target for Ethereum based on CLARITY passing. They have since adjusted that target to \$4,000 to reflect the delayed legislative timeline. This revision shows exactly how much of Ethereum's short-term institutional premium is tied to statutory staking clarity.

What XRP Gets

Of all major digital assets, XRP has the most immediate, high-multiplier exposure to the passage of this bill.

- **The Historical Overhang:** For five years, XRP existed under a legal cloud due to the SEC's active securities litigation against Ripple Labs.
- **The Post-CLARITY Reality:** XRP's commodity status is written permanently into federal law, completely and irrevocably shielding it from future SEC securities claims.

The Institutional Consequence:

While retail investors have driven 84% of the \$1.44 billion in XRP ETF inflows since November 2025, commercial and banking entities have largely remained on the sidelines.

XRP ETF & Settlement Projections

Standard Chartered Projected Inflows	\$4 Billion - \$8 Billion
JPMorgan First-Year Projected Inflows Billion	\$4.3 Billion - \$8.4
Commercial Bank RippleNet Conversions banking partners	60% of RippleNet's 300+

Statutory certainty under the CLARITY Act is the definitive key that unlocks institutional banking networks to safely transition from legacy messaging systems to real-time, on-chain XRP settlement.

The Asymmetric Cost of Failure

If the CLARITY Act fails to pass before the August recess:

-  **The Lummis Timeline:** The regulatory framework enters a multi-year freeze, delaying the next realistic legislative window to 2030.
-  **Market Drawdowns:** Without statutory protection, Bitcoin faces risk-off pressure back down to the low \$70,000s, and XRP risks a technical retest of \$1.10 as billions in projected ETF inflows are deferred.
-  **The ETF Pipeline Stalls:** Spot ETF filings for Solana, Avalanche, and Cardano will be indefinitely shelved by the SEC due to a lack of statutory commodity classification.

The urgency is clear: more than 200 crypto enterprises and lobbying groups recently issued a joint letter to Senate Leaders John Thune and Chuck Schumer demanding an immediate, clean

floor vote.



The New York Hearing — July 2026

To pave the way for the vote, Congress is convening a highly anticipated CLARITY Act hearing in New York this July. Billed as the official meeting of US financial markets and crypto policy on Wall Street's home turf, this event is a clear signal: **lawmakers no longer view this as a speculative crypto bill, but as a critical piece of modern financial market infrastructure.**



The One-Line Summary

The CLARITY Act would permanently codify Bitcoin, Ethereum, and XRP as statutory digital commodities — unlocking staking yields for ETH ETFs, billions in institutional XRP banking capital, and the broader altcoin ETF pipeline — while failure risks a devastating regulatory freeze until 2030.

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